

Stephen Hennessy

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Personal Information

Citizenship: Canada

Education

McMaster University	Hamilton, ON
PhD Economics	2026 (Expected)
Co-supervisors: Gajendran Raveendranathan & Zachary L. Mahone	
Committee members: Bettina Brüggemann & Angela Zheng	
MA Economics	2020
Saint Mary's University	Halifax, NS
BComm, Honours Economics and Finance	2019

Research

Job Market Paper

Moving Home: Non-Market Insurance and Labour Market Risk

The ability to move in with a parent provides insurance against labour market risk by allowing workers to reduce housing costs following income loss. Using linked panel data from the Health and Retirement Study, I show that job separations significantly increase the likelihood of moving home, and that this relationship persists into middle age even after accounting for parental health and caregiving needs. Motivated by this evidence, I estimate a structural life-cycle model in which individuals insure against unemployment risk through savings or by exercising the option to co-reside in a directed search environment. Access to co-residence enables workers to search for higher-wage jobs at the cost of longer expected unemployment durations; removing this option shortens search by roughly 5 weeks but lowers earnings and consumption. For an ex ante individual, the welfare value of this insurance is equivalent to a 71 percent increase in unemployment insurance benefits and remains stable from ages 20 to 40. Among younger workers, low asset holdings constrain self-insurance and make co-residence an important means of maintaining consumption during unemployment; among older workers, the reduced number of remaining working years limits their ability to rebuild earnings following job loss, increasing the value of the option to move home.

Working Papers

Parental Altruism and Transfers

Using data from the Health and Retirement Study (1998–2018), I show that child incomes, parent incomes, and parent assets, together with additional observables, explain less than 20 percent of the variation in inter vivos financial transfers. This finding is inconsistent with standard models of homogeneous altruism, in which transfer variation is driven entirely by differences in parent and child incomes and assets. I develop a static model of heterogeneous parental altruism in which altruism follows a lognormal distribution. The model generates transfers across parent and child income distributions, including positive transfers to relatively high-income children, a feature absent from standard homogeneous-altruism models. These distributional implications are important for policy evaluation, as standard models may overstate familial support for low-income children while understating support for high-income children.

Rising Rents and Living at Home: Evidence from 2000–2020

From 2000 to 2020, rental costs increased 20 percent faster than average prices. Over the same period, co-residence between parents and their adult children rose by almost 40 percent among individuals from ages 20 through 40. This paper analyzes the effects of rising rents on labour market search behaviour in a model of optional parental co-residence. I show that rent increases consistent with the data account for approximately one third of the observed rise in co-residence. Higher rental costs lead consumers to search more selectively, targeting higher-wage jobs despite lower job-finding probabilities, which results in higher unemployment. In addition, rising rents impose the largest welfare costs on younger workers, whose limited savings make them less able to self-insure against higher housing expenses.

Research interests: Quantitative macroeconomics, parental altruism, non-market insurance

Skills and Languages

Fortran, Julia, Python, MATLAB, Stata, R, LaTeX

Employment

Research Assistant	Fall 2021 – Spring 2024
Professor Michael Veall	Productivity Partnership
Teaching Assistant	
Environmental Economics	Spring 2024
Methods of Inquiry in Economics	Fall 2023
Public Sector Economics: Taxation	Winter 2023
Introduction to Macroeconomics	Winter & Summer 2021

Conference Presentations

Canadian Economics Association,	59 th Meeting, Montreal	2025
	58 th Meeting, Toronto	2024
	57 th Meeting, Winnipeg	2023

Awards

Departmental Scholarship, McMaster University	2019 – 2023
Ontario Graduate Scholarship	2019

Further Work Experience

Research Assistant	2019
Department of Marketing	
Sobey School of Business, Saint Mary's University	
Summer Associate	2018
Surveillance Strategies and Optimization	
TD Bank Financial Group, Global Anti-Money Laundering	
Research Associate	2018
Financial Sector	
Sobey School of Business IMPACT Fund	
Quantitative Skills Tutor	2017 – 2019
Math Help Center (now: Peer Academic Support Program)	
Sobey School of Business, Saint Mary's University	

References

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McMaster University

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